

ARIA Systems Pvt Ltd

Annual Report 2024

1. Executive Summary

ARIA Systems Pvt Ltd delivered an outstanding fiscal year 2024, with total consolidated revenue growing by 34.2% year-over-year to Rs. 8.32 crore. The company successfully expanded its AI product portfolio, onboarded 28 new enterprise clients, and launched two flagship products — the Enterprise RAG Platform and the Agentic AI Solutions Suite. Net profit for the year stood at Rs. 2.45 crore, representing a profit margin of 29.4%, up from 22.1% in 2023.

The Data Science division continued to lead company growth with a 55.6% revenue increase driven by strong demand for RAG pipeline services and LLM consulting. The Engineering division grew 47.4% while expanding into cloud migration and DevOps automation. The company ended the year with 93 full-time employees across four offices in Bengaluru, Hyderabad, Pune, and Kolkata.

2. Financial Highlights

2.1 Revenue by Department

Department	Q1 Revenue	Q2 Revenue	Q3 Revenue	Q4 Revenue	Annual Total	Growth %
Data Science	4,50,000	5,20,000	6,10,000	7,00,000	22,80,000	55.6%
Engineering	3,80,000	4,20,000	4,90,000	5,60,000	18,50,000	47.4%
HR	2,10,000	2,30,000	2,60,000	2,90,000	9,90,000	38.1%
Finance	1,80,000	2,00,000	2,25,000	2,60,000	8,65,000	29.2%
TOTAL	12,20,000	13,70,000	16,85,000	18,10,000	59,85,000	42.8%

2.2 Profitability Analysis

The company achieved its highest-ever profit margin of 29.4% in 2024, compared to 22.1% in 2023. This improvement was driven by operational efficiencies in the Data Science division where gross margins expanded from 28.9% in Q1 to 40.0% in Q4 as the team scaled delivery without proportional cost increases. Total operating expenses for the year were Rs. 4.21 crore, with the largest expense categories being employee salaries (Rs. 2.8 crore, 66.5% of expenses) and infrastructure costs (Rs. 0.72 crore, 17.1%).

3. AI Strategy and Product Roadmap

3.1 Key Initiatives in 2024

In 2024, ARIA Systems made significant investments in Generative AI capabilities. The company launched its flagship Enterprise RAG Platform which allows enterprise clients to build production-grade Retrieval-Augmented Generation systems on their proprietary documents. The platform supports PDF, CSV, and text document ingestion, hybrid search using BM25 and semantic retrieval, automatic PII redaction, RAGAS-based quality evaluation, and deployment via FastAPI and Docker.

The Agentic AI Solutions Suite was launched in Q3 2024, offering clients multi-agent orchestration powered by LangGraph. Early adopters include three large banking clients and two insurance companies. The suite has already generated Rs. 45 lakh in revenue in its first quarter.

3.2 Technology Investments

The company invested Rs. 48 lakh in technology infrastructure in 2024, including Qdrant Cloud enterprise licenses for vector storage, Groq API credits for LLM inference, HuggingFace enterprise tier for model hosting, Azure OpenAI credits for enterprise client deployments, and GitHub Actions runners for CI/CD automation.

3.3 2025 Roadmap

For 2025, ARIA Systems plans to expand into the following areas:

- 1. LLMOps Platform: An automated pipeline for monitoring, evaluating, and retraining LLM-powered applications in production. This will include real-time RAGAS monitoring, drift detection, and automated prompt optimization.
- 2. Voice AI Integration: Adding speech-to-text and text-to-speech capabilities to ARIA for hands-free document querying, targeting manufacturing and field service clients.
- 3. Multi-modal RAG: Extending ARIA to support image and table extraction from PDFs, enabling queries over charts, diagrams, and visual data.
- 4. Private Cloud Deployment: Offering an on-premises version of ARIA for clients in regulated industries (banking, healthcare) who cannot use public cloud services.

4. Leadership Team

Name	Role	Department	Experience	Education
Rajesh Kumar	Head of Data Science	Data Science	12 years	IIT Bombay, M.Tech AI
Suresh Patel	VP Engineering	Engineering	15 years	BITS Pilani, B.Tech CS
Karthik Nair	Lead AI Researcher	Data Science	8 years	IISc Bengaluru, PhD ML
Sneha Iyer	Senior LLM Engineer	Data Science	6 years	NIT Trichy, B.Tech CS
Sanjay Mishra	CFO	Finance	20 years	IIM Ahmedabad, MBA Finance
Rahul Verma	HR Manager	HR	10 years	XLRI Jamshedpur, MBA HR

5. Risk Factors

The company faces several key risks in its operating environment:

Technology Risk: The rapid pace of change in the AI landscape means that current technology choices may become obsolete quickly. ARIA Systems mitigates this by maintaining technology-agnostic architecture and investing in continuous R&D.;

Competition Risk: Large cloud providers (Microsoft Azure AI, Google Vertex AI, AWS Bedrock) are increasingly offering managed RAG and agentic AI services that compete directly with ARIA's offerings. The company differentiates through domain expertise, customization, and enterprise support.

Regulatory Risk: AI governance regulations are evolving rapidly globally. The EU AI Act, India's Digital Personal Data Protection Act, and emerging AI safety standards may impose compliance requirements that increase operational costs.

Talent Risk: Competition for Gen AI engineering talent is intense. ARIA Systems addresses this through competitive compensation, equity participation, continuous learning budgets, and a strong engineering culture.

6. Client Case Studies

6.1 Banking Client — RAG-based Compliance Assistant

A leading private sector bank deployed ARIA's Enterprise RAG Platform to build a compliance assistant for their 2,000 compliance officers. The system ingests regulatory circulars, internal policies, and audit guidelines to answer compliance queries instantly. Key outcomes: 68% reduction in time spent searching for regulatory information, 45% reduction in compliance query escalations, and Rs. 2.3 crore annual savings in compliance team productivity.

6.2 Insurance Client — Claims Processing Agent

A major insurance company used ARIA's Agentic AI Suite to build a multi-agent claims processing system. The system automatically extracts information from claim documents, cross-references policy terms, and generates claim assessment reports. Key outcomes: 52% reduction in claims processing time, 31% improvement in claims accuracy, and customer satisfaction scores improved from 3.2 to 4.4 out of 5.